

PwC DBAC – Case Study 1

Submission Template

Question 1: Describe the conflict of interest in this case and explain briefly how it creates a governance problem.

The Company Secretary failed to disclose that a close relative had an ownership interest in the portal vendor, constituting an undisclosed related-party transaction (RPT). This creates a governance problem because it compromises unbiased professional judgment, bypasses the Audit Committee's review for arm's-length pricing, and fundamentally undermines stakeholder trust.

Question 2: Identify the main weaknesses in how the Board is functioning and suggest key steps to improve its effectiveness.

The Board exhibits weak digital oversight, lacking technical capability, and fails in accountability by missing performance evaluations for three years. To improve, the Board must refresh its skills matrix, mandate continuous digital governance training, and conduct annual board evaluations to assess compliance and independent oversight.

Question 3: Why is the timely updating of statutory registers and compliance records important from a governance perspective?

Timely updating of statutory registers is crucial for ensuring transparency, accountability, and strict regulatory compliance. As seen in the case, ignored alerts and physical-digital mismatches compromise the reliability of internal controls, which exposes directors to liability and severely erodes auditor, regulator, and overall stakeholder confidence.

Question 4: Analyze the root cause behind the governance failures- are they primarily technology issues or governance capability issues?

The root causes are primarily governance capability issues. The Board prioritized cost savings over Enterprise Risk Management (ERM), approving the technology without proper vendor due diligence, access control reviews, or risk assessments. Technology merely amplified these foundational oversight failures, highlighting a weak control environment and poor digital governance

Question 5: If confidential Board documents can be seen by junior staff but no misuse has happened, there is no governance breach.” State True or False and give a short explanation.

False. A governance breach occurs when internal controls and data governance fail, regardless of actual misuse. Incorrect access settings violate the principle of confidentiality and demonstrate weak IT controls. Effective digital governance requires proactive prevention and robust access management to safeguard sensitive corporate assets from unauthorized access.